

Paradiem

The Morning Brief

AUGUST 2, 2026

Hormuz Reopens

Trump cancels planned Iran strike Saturday night after Middle Eastern intermediaries broker framework requiring Hormuz reopening and end of nuclear threat; Sunday deal signing scheduled per The Hill / CNBC / NPR coverage; Fri close data carries into the weekend as the pre-open catalyst pivots from kinetic escalation to diplomatic implementation.

S&P 500 (FRI CLOSE)	NASDAQ (FRI CLOSE)	BRENT (BNO FRI)	BITCOIN (LIVE)	FEAR & GREED
\$747.03 · ↑approx. 1% on the week per AP	\$687.99 · ↑approx. 1.6% on the week per AP	\$50.38 · ↑1.45% Friday · watching Mon repricing on the deal	Approx. \$63.5k per CoinDesk Sun AM · below IBIT-tracked range	CNN approx. 42 (Fear) per MacroMicro (Jul 31) · data drop crypto fallback 27

Markets — Week in Review Closed With the S&P 500 Approximately ↑1% at \$747.03 and the Nasdaq Approximately ↑1.6% at \$687.99 per AP as the MSFT / AMZN Cap-Ex Validation Set the Tape Through Thursday and the AAPL Memory-Constrained September Guide Absorbed a Portion of the Rip Friday; The Weekend Catalyst Sequence Has Now Materially Repivoted With Trump's Saturday-Night Cancellation of the Planned Iran Strike per CNBC / NPR / The Hill and the Framework Requiring Hormuz Reopening and an End to Iran's Nuclear Threat

THE WEEK'S TAPE DELIVERED THE CAP-EX VALIDATION CLEANLY THROUGH THURSDAY AND ABSORBED THE AAPL MEMORY-SQUEEZE GUIDE FRIDAY; THE WEEKEND STORY NOW PIVOTS FROM KINETIC ESCALATION TO DIPLOMATIC IMPLEMENTATION AS MIDDLE EASTERN INTERMEDIARIES (SAUDI ARABIA, QATAR, UAE, TURKEY, PAKISTAN) PUSHED THE US AND IRAN TO DE-ESCALATE PER AL-MONITOR / CFR COVERAGE AND TRUMP'S TRUTH SOCIAL POST SATURDAY NIGHT CITED "PERIMETERS OF A DEAL" REQUIRING THE COMPLETE REOPENING OF THE STRAIT OF HORMUZ AND AN END TO IRAN'S NUCLEAR THREAT PER CNBC / NPR

Per AP week-in-review coverage referenced in the prior brief, the S&P 500 closed the week ↑approximately 1% at \$747.03, the Nasdaq ↑approximately 1.6% at \$687.99, and the Dow ↑approximately 1% at \$524.32 — a fourth consecutive monthly gain for the Dow in July per AP even as the Nasdaq slipped approximately 3.2% and the S&P approximately 0.1% for the full month. Per data drop, Friday's composition rotated sharply into cyclicals with Discretionary (XLY) ↑3.29%, Communication Services (XLC) ↑1.56%, Energy (XLE) ↑1.00%, and Industrials (XLI) ↑0.81%, while Materials (XLB) ↓2.34% absorbed a sharp gold give-back (GLD ↓1.49%, SLV ↓2.13%). Per CNBC and NPR coverage of the Saturday-night Truth Social post, President Trump said he had canceled a planned Iran attack after "perimeters of a deal has been agreed to," with terms requiring the complete opening of the Strait of Hormuz and an end to Iran's nuclear threat — a framework which Al-Monitor / CFR coverage characterized as brokered under pressure from Saudi Arabia, Qatar, the UAE, Turkey, and Pakistan. Per The Hill, Trump indicated Sunday a signing session was "scheduled" for the deal. For FCI positioning, the composition pivots the pre-open catalyst window from the Middle East attack surface (which had underpinned the Upstream sleeve rerating through Chevron's approximately \$12.1B Q2 profit per GuruFocus and Shell's Q2 doubling to approximately \$9.8B) to a diplomatic implementation trajectory that could reprice the physical crude and refined-product complex materially into Monday's open.

S&P 500 (FRI CLOSE)	\$747.03 · ↑approx. 1% on the week per AP
NASDAQ (FRI CLOSE)	\$687.99 · ↑approx. 1.6% on the week per AP
DOW (FRI CLOSE)	\$524.32 · Fourth straight monthly gain in July per AP
IRAN STRIKE CANCELED	Trump Truth Social Sat night per CNBC / NPR · “perimeters of a deal has been agreed to”
DEAL FRAMEWORK	Complete opening of Hormuz + end to nuclear threat per CNBC / AI-Monitor
INTERMEDIARIES	Saudi Arabia, Qatar, UAE, Turkey, Pakistan per AI-Monitor / RedState / Tribune
ISRAEL POSITION	Joining US commitment per Trump Truth Social · had assessed Iran would fire missiles regardless per Times of Israel
SUNDAY SIGNING	Trump indicated deal “scheduled to be signed” Sunday per The Hill
IRAN POSITION	No official Tehran confirmation as of Sat night per AI-Monitor · FM Araqchi warned of “decisive response” if attacks resume per AI-Monitor
CARSON’S SPY SUPPORT	\$645.80 active · Fri range \$737.68–\$748.89 · not hit

THE BLOOMBERG DOLLAR INDEX LOGGED ITS WORST WEEK IN OVER THREE MONTHS PER BLOOMBERG HEADLINES CITED IN THE DATA DROP AS FED DOUBTS WIDENED FOLLOWING THE 9–3 HAWKISH HOLD, THE Q2 GDP ADVANCE AT 1.5% ANNUALIZED, AND CORE PCE COOLING TO 3.3% YEAR-OVER-YEAR PER BEA; THE COMPOSITION SETS A

MATERIALLY DIFFERENT WEEKEND SETUP THAN THE PRIOR TWO WEEKENDS — THE KINETIC-ESCALATION REPRICING BACKDROP HAS BEEN REPLACED BY A DIPLOMATIC-IMPLEMENTATION SETUP THAT COULD REPRICE FRONT-MONTH CRUDE MATERIALLY INTO MONDAY’S OPEN

Per Bloomberg headlines cited in the data drop, the dollar logged its worst week in over three months amid Fed doubts — a composition tied to the Wednesday 9-3 hold with three regional bank presidents dissenting in favor of a 25bps hike per Forbes / CNN, the Thursday Q2 GDP advance at 1.5% annualized versus consensus near 2.1% per BEA, and June Core PCE cooling to 3.3% year-over-year (from May’s 3.4%) with headline –0.1% month-over-month per BEA. Per data drop, TLT closed Friday at \$82.25 (↓0.66%) as the long end absorbed the hawkish-hold composition. For FCI positioning, the Iran diplomatic pivot combined with the softer growth / cooler inflation read frames a materially different weekend catalyst window than the prior two weekends — the Upstream sleeve (CVX \$196.83, CNX \$35.80, OKE \$90.81) now faces a physical-crude repricing risk if Monday’s open validates the diplomatic path, while the Defense sleeve (LMT \$582.74, GD \$383.42) faces a symmetric risk in the other direction. The Utility-AI-power sleeve (VST reports Friday per Yahoo, CEG \$262.75, NEE \$86.92) sits somewhat orthogonal to the geopolitical repricing as the load-growth thesis is anchored to hyperscaler CapEx cadence rather than front-month crude. **Simplicity Over Complexity.**

The weekend has repivoted the pre-open catalyst window from kinetic-escalation repricing to diplomatic-implementation repricing — the Iran framework requires the complete opening of Hormuz per CNBC / NPR and, if implemented, would reprice the physical crude complex materially against the Upstream sleeve’s recent rerating; the composition reinforces that positioning discipline through predetermined deployment tranches rather than binary catalyst reactions remains the operative FCI framework. Research Reveals Opportunities.

Geopolitics — Trump’s Saturday-Night Truth Social Post Canceled the Planned US Strike on Iranian Energy Infrastructure and Cited “Perimeters of a Deal” Brokered Under Pressure From Saudi Arabia, Qatar, the UAE, Turkey, and Pakistan per Al-Monitor / CFR / RedState / Tribune Coverage; The Framework Requires the Complete Opening of the Strait of Hormuz and an End to Iran’s Nuclear Threat per CNBC / NPR With Israel Joining the US Commitment, Though Tehran Has Not Officially Confirmed and Iranian FM Araqchi Reportedly Warned of a “Decisive Response” if US Attacks Resume per Al-Monitor Coverage of the Weekend Diplomatic Sequence

PER CNBC AND NPR COVERAGE OF THE SATURDAY-NIGHT TRUTH SOCIAL POST, PRESIDENT TRUMP CANCELED A PLANNED US STRIKE ON IRAN THAT HAD BEEN SLATED TO TARGET IRANIAN ENERGY INFRASTRUCTURE INCLUDING POWER STATIONS AND OIL REFINERIES PER ISRAEL HAYOM / PRAVDA USA; THE DEAL FRAMEWORK PER TRUMP’S POST REQUIRES THE “IMMEDIATE, COMPLETE, AND TOTAL OPENING OF THE HORMUZ STRAIT” AND AN “END TO IRAN’S NUCLEAR THREAT,” WITH ISRAEL JOINING THE US COMMITMENT — TRUMP INDICATED A SUNDAY SIGNING SESSION WAS “SCHEDULED” PER THE HILL; TEHRAN HAS NOT OFFICIALLY CONFIRMED AS OF SATURDAY NIGHT PER AL-MONITOR

Per CNBC coverage of the Saturday-night Truth Social post, President Trump wrote that the US had been asked by Iran and other Middle Eastern countries to hold off any attack in that the “perimeters of a deal has been agreed to,” and that the agreement would include the “Immediate, Complete, and Total OPENING OF THE HORMUZ STRAIT, and an end to Iran’s nuclear threat.” Per NPR coverage, Trump said the cancellation was “subject to being able to rapidly make a DEAL” and warned that attacks would resume if a deal were not reached. Per Al-Monitor coverage, Saudi Arabia, Qatar, the UAE, Turkey, and Pakistan pushed the US and Iran to de-escalate, with Trump speaking to Crown Prince Mohammed bin Salman Saturday, and Iranian Foreign Minister Abbas Araqchi delivered a warning of a “decisive response” if new US attacks materialize during calls with officials from Turkey, Pakistan, and Saudi Arabia. Per The Hill, Trump indicated the deal was “scheduled to be signed” on Sunday. Per Israel Hayom and Pravda USA coverage of the pre-cancellation posture, the planned strike had been slated to target Iranian energy infrastructure including power stations and oil refineries — a strike composition materially larger than any prior US action in the war per the coverage. For the FCI Upstream and Defense sleeves, the composition reframes the physical-flow architecture materially: a genuine reopening of Hormuz alongside Iranian oil returning to global markets could reprice the front-month crude complex against the Upstream sleeve rerating that Chevron’s approximately \$12.1B Q2 profit per GuruFocus and Shell’s approximately \$9.8B Q2 doubling had underpinned, while the Defense sleeve (LMT \$582.74 ↑1.50%, GD \$383.42 ↑0.32% Friday per data drop) faces a symmetric reversal risk against the sovereign-participation architecture that had widened under kinetic-escalation pricing. **The physical world matters.**

THE WEEKEND DIPLOMATIC PIVOT SITS AGAINST THE BACKDROP OF A MATERIALLY WIDENED PHYSICAL-FLOW ARCHITECTURE ESTABLISHED DURING THE KINETIC SEQUENCE — SUMED PIPELINE LOADINGS ROSE TO APPROXIMATELY 28.79 MILLION BARRELS IN JULY PER REUTERS FROM APPROXIMATELY 19.52 MILLION IN APRIL PRE-HOUSHI THREAT, THE DAMIETTA PORT DRONE STRIKE EARLIER IN THE WEEK WIDENED THE EGYPTIAN CORRIDOR ATTACK SURFACE PER CNBC, AND FEWER THAN 10 COMMODITY SHIPS CLEARED HORMUZ MONDAY MORNING PER CNN VERSUS A NORMAL CADENCE NEAR 100 VESSELS; THE PHYSICAL REPOSITIONING WAS REAL REGARDLESS OF THE DEAL OUTCOME

Per Reuters analysis cited across Al-Monitor and BOE Report over the prior week, Sumed pipeline loadings (Red Sea to Sidi Kerir on the Mediterranean) rose to approximately 28.79

million barrels in July from approximately 19.52 million in April — before the Houthi July 20 threat to prevent Saudi oil exiting via Bab el-Mandeb. Per CNBC coverage of the mid-week tape, Egyptian authorities confirmed a drone strike damaged two gas tankers at the port of Damietta on the Nile Delta branch, with no party claiming responsibility. Per CNN coverage of the Strait of Hormuz crisis timeline, fewer than 10 commodity ships cleared the strait Monday morning versus a normal cadence near 100 vessels — a physical throughput gap that reflected the kinetic constraint. Per Reuters, Saudi Arabia unveiled plans for a multinational maritime defense coalition during the sequence. For the FCI framework, the physical repositioning was real regardless of the diplomatic outcome:

even a genuine Hormuz reopening implementation would need to work through the alternative-infrastructure buildout (Sumed capacity increase, Red Sea re-routing, cargo swaps) rather than reverse it instantly, and Chevron's Friday post-print composition (CVX ↑2.35% at \$196.83 per data drop) alongside the CNX ↑3.44% and OKE ↑1.95% Friday moves reflect physical-cash-flow rerating that would need to give back materially if front-month crude repriced sharply lower Monday. Carson's SPY support at \$645.80 remains untouched per levels.json at approximately 14% below Friday's \$748.89 intraday high per data drop — a level that would only come into scope in the event of a sustained downside catalyst sequence rather than a single-session repricing. **Avoid Erosion.**

TRUMP TRUTH SOCIAL	Sat night · canceled Iran strike per CNBC / NPR · "perimeters of a deal has been agreed to"
DEAL TERMS	"Immediate, Complete, Total Opening of Hormuz" + "end to Iran's nuclear threat" per Truth Social / CNBC
INTERMEDIARIES	Saudi Arabia, Qatar, UAE, Turkey, Pakistan per AI-Monitor / Tribune / RedState
MBS CALL	Trump-MBS call Saturday cautioning against strikes per Bloomberg / RedState
ISRAEL POSITION	Joining US commitment per Trump post · had assessed Iran would fire regardless per Times of Israel
IRAN RESPONSE	No official Tehran confirmation Sat night per AI-Monitor · FM Araqchi warned of "decisive response" if attacks resume per AI-Monitor
PRE-CANCELLATION TARGET	Iranian energy infrastructure incl. power stations, oil refineries per Israel Hayom / Pravda USA
SUNDAY SIGNING	Deal "scheduled to be signed" Sunday per The Hill
PHYSICAL REPOSITIONING	Sumed approx. 28.79M bbl July vs. approx. 19.52M April per Reuters · would need to reverse gradually not instantly

SECTION 03

On Our Radar

1. Week Ahead — The Friday, August 7, 2026 BLS Nonfarm Payrolls Release Frames the Fed Reaction Function Into a Genuinely Live September Meeting per Kalshi / CME FedWatch Dispersion Cited Across Prior Briefs; The ISM Manufacturing PMI Prints Monday at 10:00 AM ET With Consensus Near 53.8 per Investing.com / Kiplinger Coverage of the Week's Economic Calendar, Followed by JOLTS Tuesday, ADP Wednesday, and ISM Services Later in the Week. Per BLS release schedule confirmed via Finance Calendar and FXStreet, the July nonfarm payrolls report lands Friday, August 7, 2026 at 8:30 AM ET into a labor context where June printed +57,000 jobs per Trading Economics (well below the downwardly-revised +129,000 in May and consensus near +110,000). Per Investing.com and Kiplinger week-ahead coverage, ISM Manufacturing PMI prints Monday, August 3 at 10:00 AM ET with a forecast near 53.8 (versus prior 53.9), and the S&P Global Manufacturing PMI final also lands Monday. For the FCI Dividend and Utility sleeves, the labor composition into the 9-3 hawkish Fed hold, the 1.5% Q2 GDP advance, and Core PCE cooling to 3.3% year-over-year keeps the September meeting genuinely live in either direction, and any material NFP surprise would combine with the Iran deal implementation trajectory to reset positioning materially. *Research Reveals Opportunities.*

2. Vistra (VST) Confirmed Q2 Earnings for Friday, August 7 Pre-Market With a 10:00 AM ET Conference Call per Stocktitan / Barchart Coverage — Analyst Consensus Near \$2.43 EPS (Up Approximately 140% Year-Over-Year From \$1.01) per Barchart; The Print Delivers the Utility-AI-Power Sleeve's Read Into the Same Session as the July NFP and Positions the Sleeve for the Load-Growth / Hyperscaler-Contracting Read That Would Anchor the Second Half of 2026. Per Stocktitan coverage confirming the release date, Vistra reports Q2 2026 pre-market Friday, August 7 with a 10:00 AM ET conference call. Per Barchart analyst consensus coverage, VST is expected to report approximately \$2.43 EPS versus \$1.01 in the year-ago quarter. Per data drop, the utility-AI-power cohort composition — VST \$148.19 ↓0.29%, CEG \$262.75 ↓0.31%, NEE \$86.92 ↓1.15% — gave back modestly Friday alongside XLU ↓0.69% into the growth-cyclical rotation. The Friday-morning VST print alongside the July NFP release will crystallize the Utility-AI-power sleeve's read into a materially eventful pre-open

session, with focus on load-growth capture, hyperscaler contracting cadence, and the memory-cost / CapEx pass-through framing that Amazon's \$220B cash CapEx guide anchored during the prior week. *The physical world matters.*

3. Monday Pre-Open Sits at the Intersection of Two Materially Discontinuous Catalyst Windows — The Iran Deal Implementation Trajectory per CNBC / NPR / The Hill Weekend Coverage and the ISM Manufacturing PMI Print at 10:00 AM ET With Consensus Near 53.8 per Investing.com; A Genuine Hormuz Reopening Signal Combined With a Manufacturing PMI Beat Would Reprice the Front-Month Crude Complex Against the Upstream Sleeve's Recent Rerating While Materially Constructive for the Growth-Cyclical Composition That Set Friday's Sector Tape. Per data drop, Friday's sector rotation into cyclicals (XLY ↑3.29%, XLC ↑1.56%, XLI ↑0.81%) against Materials (XLB ↓2.34%) and gold (GLD ↓1.49%) frames a market composition already positioned for a growth-and-cyclical bid Monday should the ISM Manufacturing PMI validate the Manufacturing composition. Per Investing.com week-ahead coverage, the ISM Manufacturing PMI is expected near 53.8 versus prior 53.9. For FCI positioning, a scenario where the Iran deal signing implementation cadence held constructive alongside a beat on the ISM composition could pressure the Upstream sleeve (CVX, CNX, OKE) against the front-month crude repricing while the Utility-AI-power sleeve (VST, CEG, NEE) remains anchored to the load-growth thesis rather than the geopolitical repricing — a composition that keeps the pre-committed deployment tranche discipline as the operative framework. *Think Like an Owner.*

4. FCI Print Cohort for the Coming Week Includes AMD Reporting Tuesday, August 5 per Yahoo Finance Coverage Referenced in the Data Drop Alongside the “Top Four Nasdaq 100 Stocks to Watch Next Week” Framing (AMD, Uber, Palantir, Airbnb per Benzinga); The AMD Print Delivers the Merchant-Silicon Read Into a Materially Different Session Composition Than the MSFT / AMZN Cap-Ex-Validation Rip — AMD Closed Friday at \$476.15 (↓1.90%) per Data Drop After Thursday's ↑13.00% MSFT-Driven Rip. Per data drop headlines coverage, AMD is featured in Yahoo's “Dow Jones Futures: Trump Calls Off Iran Attacks; SpaceX, AMD, Sandisk, Eli Lilly Earnings Loom” note, and Benzinga highlights AMD alongside Uber, Palantir, and Airbnb in the Nasdaq 100 “stocks to watch” framing for the week. Per data drop, AMD closed Friday ↓1.90% at \$476.15 after Thursday's ↑13.00% MSFT-driven rip took the merchant-silicon cohort materially higher. The AMD print will provide the read on data-center accelerator demand, the memory-cost pass-through composition that AAPL and AMZN both flagged, and the merchant-silicon competitive positioning against NVDA (Friday close \$200.75 ↑2.93% per data drop). *Research Reveals Opportunities.*

5. Carson's SPY Support at \$645.80 Remains Untouched Through Friday's \$737.68–\$748.89 Intraday Range per Data Drop and levels.json — The Retracement Target Sits Approximately 14% Below the Current Tape; The Iran Deal Diplomatic Pivot Combined With the Softer Growth / Cooler Inflation Read Alongside the Cap-Ex-Validated AI Infrastructure Thesis Reinforces That the Pre-Committed Deployment Tranches (70% of Reserves at –25% Drawdown, Remaining 30% at –40%) Remain the Operative FCI Discipline Into the Materially Repivoted Weekend Catalyst Window. Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Friday's \$737.68–\$748.89 intraday range per data drop and sits approximately 14% below the current tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point. For the FCI risk framework, the composition — MSFT / AMZN cap-ex validated, memory-cost pass-through anchored, Iran kinetic sequence pivoted toward diplomatic implementation, physical-cash-flow rerating tested by the Hormuz-reopening framework, and the July NFP / VST print pair set for Friday — reinforces that the pre-committed deployment tranches (70% of reserves at –25% drawdown, remaining 30% at –40%) remain the operative discipline into the August catalyst window rather than any impulse response to the weekend repivoting. *Simplicity Over Complexity.*